MATHMAG BUILDERS LIMITED

MODULE 07

CENTRAL ADMINISTRATION, FINANCE & GOVERNANCE

HR • Finance • Compliance • Quality Assurance • Independent Audit • Company IT

Controlled V3 standalone governing specification | 25 October 2026

Plan better, build better.

Design control

Module 7 is a continuous company-wide governance and enabling-services module. It operates alongside all Modules 1-6 and is not a seventh chronological project step. Its GM delegation and owner-reserved decisions override generic references to “Management” in older module documentation. User-approved technical and financial gates remain binding.

Previously selected Module 7 business rules below are retained without changing the individual approved policy choices. All legal and numerical thresholds require configured validation.

03 Module 7 — Central Administration

Module 7 is the company-wide control layer across all modules and projects. It contains Governance and Delegation, HR, Finance/Accounts, Compliance, Central QA, Independent Audit and Security/Administration. The selected design deliberately separates daily GM-led operations from owner-reserved governance and professionally independent sign-off.

A. Governance and administrative leadership

M7-G01 Owner vs General Manager

SELECTED RULE — Employed GM controls routine operations within a standing owner-approved delegation framework (confirmed Option B).

Required control and evidence: Owner receives cross-company audit and risk dashboards, governance proposals and matters explicitly reserved under governing instruments and approved delegation. No per-invoice, hiring, site or standard purchasing intervention.

M7-G02 Department decisions and escalation

SELECTED RULE — Delegate HR, procurement, finance and project approvals to appropriate qualified heads within risk, project and spending matrices (confirmed Option B).

Required control and evidence: Enforce approval authority based on action type, location, source budget, cumulative thresholds, absence status and conflict-of-interest; no purchase splitting, retroactive self-approval or professional safety override.

M7-G03 GM absence and deputy succession

SELECTED RULE — Preapproved qualified acting deputies activated through HR under documented limits without fresh owner signoff for each absence (confirmed Option B).

Required control and evidence: GM nominates succession, owner preapproves standing framework; HR verifies triggering condition, time-limited access and nonconflicted eligibility; owner receives notice, not routine decision queue.

M7-G04 Emergency management quorum

SELECTED RULE — If no eligible acting deputy, preapproved Emergency Management Committee exercises collective restricted authority (confirmed policy).

Required control and evidence: HR activation, recorded attendance/quorum/recusals/votes, heightened consensus for elevated risk, time-bound scope, no owner-reserved decision powers, protected audit and owner notifications.

M7-G05 Management dashboard and meeting decisions

SELECTED RULE — Single accountable company task/decision register with cross-project performance and closure verification (new selected Option B).

Required control and evidence: GM approves department plans/KPIs, management tasks and action owners; deadlines, evidence and independent report-back; elevated exceptions visible to governance. Meeting notes cannot substitute for transactional authorization.

B. Human Resources and employee administration

M7-H01 Staffing plan and recruitment

SELECTED RULE — Head proposes vacancy; HR verifies approved position/budget, credentials and fair selection; delegated management appoints (new selected Option B).

Required control and evidence: Track requisition, conflict disclosures, advert/referrals, structured shortlist, interviews and hiring decisions; protect applicant privacy; material/senior roles require higher delegated authorization.

M7-H02 Employee onboarding and access

SELECTED RULE — HR verifies identity, contract and role, work eligibility and any professional licences; role-specific training and portal activation (new selected Option B).

Required control and evidence: Signed employment agreement, pay terms, statutory enrolment where applicable, emergency contacts with privacy controls, induction, PPE, supervisor and permitted sites; IT enables least privilege only after HR/authorized approval.

M7-H03 Attendance, overtime and payroll input

SELECTED RULE — Employee-original attendance plus independent supervisor verification and separate payroll calculation/approval (existing; carried forward).

Required control and evidence: No overwrite of check-in/out timestamps; corrections separately requested and approved. Overtime requires explicit authorized policy/contract approval; evaluate labour law and entitlement. Payroll must not assume subcontractor workers are direct employees.

M7-H04 Leave, shift, absence and replacement

SELECTED RULE — Employee-initiated requests and documented operational cover with HR entitlement checking and delegated approval (new selected Option B).

Required control and evidence: Annual/medical/emergency leave types, dates, supporting sensitive records with strict access, staffing conflict checks, holiday/overtime rules via verified local law, balanced leave ledger, escalating nonconflicted review for disputes.

M7-H05 Performance reviews and development

SELECTED RULE — Role-specific evidence-based reviews, worker and manager responses, appeal route and improvement plans (confirmed principle, selected Option B).

Required control and evidence: Compare to assigned role and actual constraints; original work reports/verified output, quality and safety compliance, fair context (late materials, weather, design changes) and non-retaliation; performance score must not silently trigger wage deduction/discipline.

M7-H06 Training, trade competency and credential expiry

SELECTED RULE — HR central training record with independent qualified verification and equipment/professional role restrictions (new selected Option B).

Required control and evidence: Mandatory training matrix per role/site, renewal reminders, training booking/attendance evidence, qualified signoff; expired mandatory licences block affected professional/operation activities only, not every unrelated task.

M7-H07 Complaints, grievances and discipline

SELECTED RULE — Confidential HR cases, fair fact-finding, opportunity to respond, independent appeal and protected channels for GM/supervisor cases (new selected Option B).

Required control and evidence: Role-restricted evidence, due process per contracts/applicable Kenyan law, non-retaliation against reporters, no automatic penalties, independent auditor oversight for fraud/retaliation/implicated management, protected appeal separation.

M7-H08 Employment changes and offboarding

SELECTED RULE — Documented contract variation, role transfer or exit; immediate risk-based access/asset recovery, final lawful balances and records (new selected Option B).

Required control and evidence: HR obtains authorization, tracks notices and legally required benefits, projects/worker assignments, PPE/assets, Accounts final payroll/advance settlement under law; revoke access and preserve original worker evidence even after departure.

M7-H09 Payroll and worker advances

SELECTED RULE — Accounts independently calculates employee pay and verified recoveries, with separated delegated pay approval and payer controls (previously confirmed Option B).

Required control and evidence: Supports daily/weekly/monthly/piecework/fixed-task; employee visibility limited to own terms and statements; any pay advance/deduction governed by actual agreement and law; errors corrected transparently with versioned ledger.

C. Finance, budgeting and commercial controls

M7-F01 Chart of accounts and project finance

SELECTED RULE — Central company general ledger with project/job/cost-code subledgers and distinct commercial commitments (new selected Option B).

Required control and evidence: Separate project quoted budget, approved changes, PO commitment, accrued expense, actual expense, cash paid, receivable and recoverable advance; maintain multi-contract scope, tax categorization and traceable cost center dimensions.

M7-F02 Budget approvals and variance management

SELECTED RULE — Management authorizes initial budget and material revisions; QS forecasts and Accounts validates actual finance (new selected Option B).

Required control and evidence: PM/QS plan cost-to-complete, requisitions checked against budget commitment and delegated thresholds; supported variation vs internal forecast distinguished; exceptions not silently added to client contract price.

M7-F03 Client billing and debt collection

SELECTED RULE — Contract-specific milestone/schedule/verified-progress invoices with Accounts reconciliation and management-controlled credit decisions (confirmed Option B).

Required control and evidence: PM progress certificate and QS valuation when applicable; Accounts issues controlled invoice and posts independently verified payment. Financial reminder sending follows previous rule: Accounts manually controls timing, though overdue risk alerts may be automatic.

M7-F04 Supplier payable control

SELECTED RULE — Approved supplier/master verification; valid award and PO, accepted GRN or contract-permitted advance stage, verified invoice and payment destination (confirmed Option B).

Required control and evidence: Prevent duplicates and invoice splitting; account changes require out-of-band verification and renewed approval of affected pending payments. Sensitive supplier bank details not exposed to ordinary site users.

M7-F05 Supplier advances, shortage claims and recoveries

SELECTED RULE — Contract-permitted risk-screened prepayment with formal milestone offset and monitored recovery (confirmed Option B).

Required control and evidence: Track supplier default/notice, alternative sourcing, Contracts enforceable remedies, Accounts exposure, settlement vs accounting impairment, delegated financial approval and independent audit; apply precise payment/recovery rights from signed documents.

M7-F06 Payment batch creation and disbursement

SELECTED RULE — Independent payable preparation, verification, authorization, secure payment initiation and separate post-payment reconciliation (new selected Option B).

Required control and evidence: Maker/checker/approver/payer rights cannot collapse into one person; payment file integrity, approved payee crosscheck just before release, duplicate detection, failed/reversed payments, transfer fees and bank references. No pay without valid verified destination.

M7-F07 Petty cash, travel, expenses and staff imprests

SELECTED RULE — Controlled imprest/cashless-first approach with receipts, accountable limits, reimbursement review and timely settlement (new selected Option B).

Required control and evidence: Employee claim or authorized cash advance, manager verifies business purpose, Accounts checks policy/duplicate receipts and budget, delegated approval, reconciliation, repayment/approved lawful recovery of unsupported spending; review recurring patterns.

M7-F08 Bank, mobile-money and cash reconciliation

SELECTED RULE — Accounts performs scheduled independent bank/M-Pesa reconciliation with investigation and controlled journal corrections (new selected Option B).

Required control and evidence: Import statements/read-only direct reconciliation where supported, map receipts/payments and fees, monitor unpresented/failed/duplicate transfers, require second-role signoff for reconciliation and material journals, audit unmatched transactions.

M7-F09 Payroll authorization and statutory remittances

SELECTED RULE — HR controls authorized staff/terms; site verifies work; Accounts independently calculates and pays only authorized net pay (confirmed pattern, finalized Option B).

Required control and evidence: No payroll for unverified or duplicate worker records; applicable PAYE/pension/social-security and other payroll obligations configured from current rules; bank-beneficiary changes under same strong out-of-band safeguards.

M7-F10 Tax/statutory filing and professional fees

SELECTED RULE — Central Compliance owns requirements calendar while Accounts prepares financial returns/payments and appropriately authorized professionals certify (new selected Option B).

Required control and evidence: Country/county/project tax and statutory requirements must be confirmed by responsible qualified advisers; never hard-code unverified rates or deadlines; keep returns, acknowledgments, receipts, corrections and escalation evidence.

M7-F11 Financial period closing and reporting

SELECTED RULE — Accounts closes periods with reconciliations, aged balances, projects cost-to-complete and management review (new selected Option B).

Required control and evidence: Versioned management reports: cash and bank, payables, receivables, supplier advances, payroll, VAT/tax as applicable, budget vs actual, profitability, commitments, project exposures, write-offs and liabilities; closed periods changed only via controlled journal adjustment.

M7-F12 Credit notes, refunds, settlements and write-offs

SELECTED RULE — Accounts independently calculates balance; Contracts verifies legal entitlement; delegated managers approve within limits (confirmed Option B).

Required control and evidence: Client/supplier credits require traceable invoice/contract basis and reverified beneficiary where paid; financial impairment recognized separately from legal waiver; high-risk audit oversight and GM escalation.

M7-F13 Project final commercial reconciliation

SELECTED RULE — PM confirms physical completion; QS verifies variations and final account; Accounts confirms ledger, retentions and claims (new selected Option B).

Required control and evidence: Unresolved warranties/client debt/retention/defects remain open in separate registers. No off-book settlement; supplier and client ownership material closeout feeds commercial closeout but is distinct.

D. Compliance and central quality assurance

M7-C01 Statutory/professional obligations register

SELECTED RULE — Central qualified Compliance Officer maintains source-linked register of obligations, proof and renewal dates (confirmed Option B).

Required control and evidence: Qualified Leads own discipline requirements; Approvals Officer/PM run project submissions; automatic reminders, risk escalation and affected-activity restrictions where mandatory prerequisites missing; management cannot self-issue technical clearance.

M7-C02 Independent compliance continuity

SELECTED RULE — GM appoints qualified Compliance Officer; predesignates competent deputies for HR activation; last-resort external backup preapproved (confirmed Option B).

Required control and evidence: Acting rights time-bounded, scoped and independently audited; external backup must receive least-privilege access and confidentiality terms, without requiring per-absence owner signoff.

M7-C03 Regulatory change control

SELECTED RULE — Compliance monitors trusted official changes, qualified professionals assess applicability and effective date; PM/QS/Contracts assess each affected project (confirmed Option B).

Required control and evidence: Do not assume retroactivity. Mandatory affected work may be restricted; client variations negotiated where lawful, no unilateral charges. Unlock only after professional/safety/compliance clearance and authorized digital work release.

M7-C04 Quality oversight and hold points

SELECTED RULE — Independent Central QA register for recurring construction defects, lot issues, nonconformances, investigations and preventive actions (confirmed Option B).

Required control and evidence: QA may impose narrow provisional serious-defect holds but cannot replace licensed professional signoff. Independent qualified lead confirms/resolves hold; PM implements, QS/Accounts track costs and source of legal liability.

M7-C05 Supplier and material quality lot tracking

SELECTED RULE — QA tracks supplier lots from PO/GRN through stores, transfer and installation; unsafe or suspect lots quarantined (confirmed Option B).

Required control and evidence: Storekeeper physically isolates and blocks issuance; professionals test/clear or reject; Procurement pursues supplier remedies; affected installed work gets scoped professional assessment; Accounts adjusts credited cost only against verified documents.

M7-C06 Corrective action verification and recurrence

SELECTED RULE — Every defect/incident creates accountable root-cause review and measurable corrective/preventive actions (confirmed Option B).

Required control and evidence: Technical Leads approve technical measures; independent competent verifier tests effectiveness; QA trends recurrence across sites; protected auditors verify high-risk financial/governance actions are truly closed.

E. Independent audit, ethics and investigations

M7-A01 Independent auditor appointment and protection

SELECTED RULE — Lead independent auditor has owner/governance-controlled appointment/removal, separate from unilateral GM operational control (confirmed Option B).

Required control and evidence: HR administers terms/resources, GM ensures cooperation, auditor retains protected read access and secured case evidence; no auditor may approve company spending they later audit as independent.

M7-A02 Automated anomaly and risk analytics

SELECTED RULE — Risk-based monitoring for duplicate invoices, split purchases, beneficiary changes, suspicious journal entries and material diversion (confirmed Option B).

Required control and evidence: Alerts preserve allegation/evidence status, not guilt; compare cross-project procurement, material discrepancies, payroll and supplier master records; prioritize serious cases without assuming a flag proves fraud.

M7-A03 Anonymous/identified whistleblower channel

SELECTED RULE — Protected confidential or anonymous intake with case reference, status updates and independent triage (confirmed Option B).

Required control and evidence: Separate GM-related cases from GM; restrict reporter identity and no automatic inference linking anonymous cases to staff identities. Anti-retaliation monitoring for known protected reporters without disclosure; independent appeal review.

M7-A04 Finding resolution and independent closure

SELECTED RULE — Auditor records severity, findings/evidence; nonconflicted management assigns corrective owners, independent auditor verifies closure (confirmed Option B).

Required control and evidence: Critical/high issues escalated via protected governance channel, including owner when GM implicated; immutable documents, fair response opportunities, legal privileges/confidentiality, no secret suppression or self-closure.

M7-A05 External reporting and legal constraints

SELECTED RULE — Independent legal/compliance assessment of mandatory authority notifications without implicated-management veto (confirmed Option B).

Required control and evidence: Record date, statutory trigger, notification authority, approvals where law permits, evidence and eventual response; no system requirement should enable illegal withholding of mandatory reports.

F. Corporate documents, IT and information governance

M7-I01 User roles, identity and access

SELECTED RULE — Central role + project scope + approval limit checks, with 2FA for sensitive actions and individual non-shared accounts (new selected Option B).

Required control and evidence: HR governs activation/deactivation; IT enforces least privilege; emergency time-limited privilege elevation separately approved and recorded; no shared supervisor/worker login; client isolated to own project; audit access independent.

M7-I02 Confidential company document control

SELECTED RULE — Versioned, project/department-scoped files with formal issue sets, metadata and publication consent (new selected Option B).

Required control and evidence: Architectural source working files stay internal; contract, HR, payroll, technical certificates and protected cases access-restricted; client sees released PDFs/images only. Digital signatures must be legally appropriate, not counterfeit professional stamps.

M7-I03 Communication and alerts

SELECTED RULE — Event-triggered task notifications for compliance, safety, inspections, overdue invoices and role assignments (new selected Option B).

Required control and evidence: Use SMS/WhatsApp/email/in-app only where permitted/configured; avoid exposing confidential details in notifications. Preserve manual Accounts discretion over CLIENT payment-reminder timing; do not auto-demand payment when not approved.

M7-I04 Backup, recovery and tamper evidence

SELECTED RULE — Encrypted protected file storage, backups, disaster recovery drills, audit retention and secure restoration (new selected Option B).

Required control and evidence: Access/event logs tamper-evident; workers can correct by addendum not overwrite; files use virus scanning/content controls and versioning; data-retention/privacy and breach-response requirements set per applicable law and verified policy.

M7-I05 Dashboards and company reporting

SELECTED RULE — Separate owner governance dashboard, GM operating cockpit, departmental task queues and PM project scorecards (new selected Option B).

Required control and evidence: Owner: portfolio profitability, cash, governance/risks, audit status without daily approval queue. GM: delivery, budgets, resources, exceptions. PM: site operations; Accounts: finance; HR: protected workforce; Audit: independent findings. KPI charts must use verified source transactions.

7.1 Cross-module authority interpretation

- GOV-01 Governance: The owner retains reserved strategic powers and protected oversight, while the employed General Manager (GM) holds company-wide operational accountability. Owner access to reporting does not authorize routine operational interference.
- GOV-02 Delegation: Department heads, Project Managers and designated officers may authorize decisions only within documented project, function, category, value and risk limits; above-limit or exceptional decisions go to GM. No employee may approve their own originating action.
- GOV-03 Technical independence: Valid safety and professional certifications are performed by competent authorized persons; neither a GM nor a financial waiver can substitute for a mandatory technical/statutory clearance.
- GOV-04 Evidence: Worker, junior designer, client, storekeeper, inspector, supplier and auditor original submissions are preserved with authorship, timestamp, linked versions and tamper-evident history. Review adds new records; it does not overwrite originals.
- GOV-05 Segregation: Requests, verification, approval, payment, receipt and audit must be appropriately independent. Where team size makes perfect separation impractical, a documented compensating review by an independent qualified officer is mandatory.
- GOV-06 Client access: Client portal content is limited to that client/project and expressly published revision; source design files, worker complaints, confidential pay, internal contracts and audit cases remain restricted.
- GOV-07 Controls: Accounts verifies funds/beneficiaries and books actual transactions; QS values cost and forecasts; Contracts verifies commercial entitlements; Compliance oversees obligations; QA checks systemic quality; independent audit observes, investigates and independently verifies closure.
- GOV-08 Exceptions and continuity: Documented financial/administrative exceptions may be decided by the authorized delegated manager or GM; there is no exception to mandatory law, safety, professional status or an already-required client acceptance. GM absence invokes only preapproved and HR-activated acting authority.

7.2 Management and audit dashboard expectations

- GM operational inbox: delegated approvals, department performance, overdue controls, restricted equipment, financial exposure, statutory gates and incident response.
- Owner oversight: high-level project margins/cash exposure, protected independent audit results, GM performance, strategic risks and owner-reserved resolutions; no routine payment approval queue.
- Department heads: staff workload, qualification expiries, pending reviews and disciplinary access only within legal and role constraints.
- Independent auditor: protected access to original immutable records, anomalies and case management, with management-involved cases escalated to non-conflicted owner/governance.
- System administrators operate infrastructure and permissions under dual-control but cannot impersonate another staff member or silently change audit evidence.

7.3 Implementation and assurance

The full audit and functional testing matrix is documented in the Master Architecture and Integration Testing Guide. Modules 1-6 point to Module 7 policies for roles, finance, HR, records, security and audit. All client project routes remain configurable by contracted service, not by forcing all seven stages sequentially.